

SHOULD-COST ANALYSIS REPORT

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Bottom-Up Manufacturing Cost Model · Fully Traceable Rate Data

Cast Structural Mounting Bracket

Commodity: CASTING · Currency: CNY · FX Rate: 9.0498 to GBP · Operations: 2 · Region: CN

Total Should-Cost	Material	Process	Labour	Margin
¥204.66	18.0%	38.5%	13.2%	7.4%

Model Confidence: **Low** · 2 traced operations · 7 data points auditable

Engine Warnings (1)

rawMaterial.materialId: Material rate confidence: Low

Geometry Provenance — MEASURED (OCCT B-rep kernel)

Volume, weight and every feature were measured from the CAD solid by the Open CASCADE kernel. Measured volume 320.0 cm³; mass for the selected material family 2.272 kg.

Material cost and geometry-derived machining are grounded in the actual solid — not an estimate.

Key Assumptions

Annual volume: 200,000 · Region: CN · Commodity: casting

Alloy / material: EN-GJS-500-7 (Ductile Iron) · Net weight: 2.359 kg (measured)

Material utilisation: 65% · Overhead: 12% of factory base · Margin: 8% of subtotal · Operations: 2

§1 — 8-Bucket Cost Breakdown

Cost Bucket	Amount (CNY)	% of Total	Cost Mix Bar
1. Raw Material	¥36.91	18.0%	
2. Process (Machine)	¥78.84	38.5%	
3. Direct Labour	¥27.10	13.2%	
4. Tooling (amortised)	¥23.19	11.3%	
5. Packaging	¥1.27	0.6%	

Cost Bucket	Amount (CNY)	% of Total	Cost Mix Bar
6. Logistics	¥2.26	1.1%	
Factory Cost	¥169.58	82.9%	
7. Overhead (SG&A)	¥19.93	9.7%	
Subtotal	¥189.50	92.6%	
8. Supplier Margin	¥15.16	7.4%	
TOTAL SHOULD-COST	¥204.66	100.0%	

§2 — Commercial Parameters

Overhead Rate	12.0%	Supplier Margin	8.0%
Packaging / part	¥1.27	Logistics / part	¥2.26
Total Tooling Cost	¥4638009.05	Amortisation Volume	200,000 parts

§3 — Material Detail

Parameter	Value	Unit	Notes
Material ID	mat-gjs500	ID	
Grade / Specification	EN-GJS-500-7 (Ductile Iron)		Index-anchored 2026-07 (see CASTING PRICING BASIS). Mid-grade ductile iron — steering knuckles, hubs, brackets; balance of strength and ductility. Regional adj. ×0.880 (millSteel)
Region	China		
Net Finished Weight	2.3588 kg	kg	Weight in finished part
Gross Weight (stock)	3.6289 kg	kg	Net ÷ utilisation ratio
Scrap / Runner Weight	1.2701 kg	kg	Gross - Net
Material Utilisation	65.0%	%	Benchmark: casting 65–85 % (runners + risers)
Material Price	¥6.85	CNY /kg	Index-anchored 2026-07 (see CASTING PRICING BASIS). Mid-grade ductile iron — steering knuckles, hubs, brackets; balance of strength and ductility. Regional adj. ×0.880 (millSteel)
Scrap Recovery Price	¥1.19	CNY /kg	
Gross Material Cost	¥24.85	CNY	Gross × price/kg
Scrap Credit	-¥1.52	CNY	Scrap × recovery price
Consumables (core / wax / shell)	¥13.57	CNY	Per-part recurring
NET RAW MATERIAL COST	¥36.91	CNY	Gross - scrap credit + consumables
Data Confidence	Low		
Effective Date	2026-07		

§4 — Operations Detail

4A Machine Operations

Operation	Machine Class	Rate / hr	Cycle (min)	Parts / Cycle	OEE %	Machine Cost
Sand Casting — Moulding	Sand Casting Moulding Line	¥136.44	11.42	1	80.0%	¥32.46
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face	CNC VMC 3-axis	¥254.30	9.30	1	85.0%	¥46.38

Operation	Machine Class	Rate / hr	Cycle (min)	Parts / Cycle	OOE %	Machine Cost
4385mm ² , 1× face 2406mm ² , 1× face 2191mm ² , 1× face 1921mm ² , 1× face 1892mm ² , 1× face 1839mm ² , 1× face 1838mm ² , 1× face 1694mm ²) [geometry-measured]						
TOTAL						¥78.84

4B Labour Detail

Operation	Labour Grade	Rate / hr	Man ning	Lab. min	Eff %	Labour Cost	Op Total
Sand Casting — Moulding	Skilled Machinist	¥71.49	1	11.42	92.0 %	¥14.79	¥47.25
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm ² , 1× face 2406mm ² , 1× face 2191mm ² , 1× face 1921mm ² , 1× face 1892mm ² , 1× face 1839mm ² , 1× face 1838mm ² , 1× face 1694mm ²) [geometry-measured]	Skilled Machinist	¥71.49	1	9.30	90.0 %	¥12.32	¥58.70
TOTAL						¥27.10	¥105.95

4C Machined Features — Geometry Audit

Feature	Ø×depth / area	Qty	Operation	Min	Cost	Costed ?
Boss	Ø18.0 × 14	1	Turning (external Ø)	0.57	—	No
Hole / bore	Ø4.0 × 7 blind	1	Drilling (blind)	0.23	¥0.95	Yes
Hole / bore	Ø4.9 × 15 blind	1	Drilling (blind)	0.30	¥1.29	Yes
Hole / bore	Ø13.0 × 8 blind	1	Drilling (blind)	0.41	¥1.74	Yes
Hole / bore	Ø13.0 × 19 blind	2	Drilling (blind)	1.26	¥5.34	Yes
Hole / bore	Ø13.0 × 41 blind	1	Drilling (blind)	1.07	¥4.54	Yes
Hole / bore	Ø14.0 × 1 blind	3	Drill + bore (blind)	1.62	¥6.87	Yes
Hole / bore	Ø20.0 × 1 blind	1	Drill + bore (blind)	0.54	¥2.29	Yes
Face	4385 mm ²	1	Face milling (facing)	0.75	¥3.17	Yes
Face	2406 mm ²	1	Face milling (facing)	0.50	¥2.12	Yes
Face	2191 mm ²	1	Face milling (facing)	0.47	¥2.01	Yes
Face	1921 mm ²	1	Face milling (facing)	0.44	¥1.86	Yes
Face	1892 mm ²	1	Face milling (facing)	0.44	¥1.85	Yes
Face	1839 mm ²	1	Face milling (facing)	0.43	¥1.82	Yes

Feature	Ø×depth / area	Qty	Operation	Min	Cost	Costed ?
Face	1838 mm²	1	Face milling (facing)	0.43	¥1.82	Yes
Face	1694 mm²	1	Face milling (facing)	0.41	¥1.75	Yes
Pocket	1839 mm² × 15	1	Pocket milling (rough + finish)	5.11	—	No
Pocket	1265 mm² × 11	1	Pocket milling (rough + finish)	2.75	—	No
TOTAL costed		18		9.30	¥39.43	Yes

3 detected feature(s) NOT costed

3 machinable feature instance(s) (8.4 min) were detected in the geometry but are NOT included in this cost — on a near-net part they may be as-cast. If they are machined, tick them in the Machined-Features panel and re-cost; this could add up to ¥35.74.

\$5
Machine Rate Buildup

CNC VMC 3-axis [mach-vmc3] · Confidence: Low · UK Tier-2 3-axis VMC (HAAS VF/VM class). Target £55/hr. Jun 2026 | Regional: capex/overhead ×0.55, energy re-tariffed @£0.07/kWh

Cost Component	Annual Cost (CNY)	Rate/hr @80% util	Notes
Depreciation	¥273755.66	¥85.55	4,000 hr/yr available
Maintenance	¥149321.27	¥46.66	
Energy	¥77119.81	¥24.10	
Floor Space	¥59728.51	¥18.67	
Indirect Support	¥149321.27	¥46.66	
Finance Cost	¥104524.89	¥32.66	
TOTAL — CNC VMC 3-axis	¥813771.39	¥254.30	Effective hours: 3200/yr

Sand Casting Moulding Line [sand-cast-line] · Confidence: Low · UK foundry benchmark, Jun 2026 | Regional: capex/overhead ×0.55, energy re-tariffed @£0.07/kWh

Cost Component	Annual Cost (CNY)	Rate/hr @75% util	Notes
Depreciation	¥124434.39	¥47.40	3,500 hr/yr available
Maintenance	¥59728.51	¥22.75	
Energy	¥68856.97	¥26.23	
Floor Space	¥49773.76	¥18.96	
Indirect Support	¥39819.00	¥15.17	
Finance Cost	¥15554.30	¥5.93	
TOTAL — Sand Casting Moulding Line	¥358166.93	¥136.44	Effective hours: 2625/yr

How to read the machine rate

Rate/hr = (annual depreciation + maintenance + energy + floor + indirect + finance) ÷ effective hours, where effective hours = available hours × utilisation.
Effective hours encode the shift pattern: a lower hours-base raises £/hr and a higher one lowers it. A challenge from a supplier will target this divisor and whether depreciation is machine-only or full-cell (machine + dosing furnace + trim + robots/extraction) — state your basis when defending the number.

\$6
Rate Traceability

Field	Value	Unit	Source / Reference	Rate ID	Conf.
material.pricePerKg	0.7568	£/kg	Index-anchored 2026-07 (see CASTING PRICING BASIS). Mid-grade ductile iron — steering	mat-gjs500	Low

Field	Value	Unit	Source / Reference	Rate ID	Conf.
			knuckles, hubs, brackets; balance of strength and ductility. Regional adj. ×0.880 (millSteel)		
material.scrapRecoveryPricePerKg	0.1320	£/kg	Index-anchored 2026-07 (see CASTING PRICING BASIS). Mid-grade ductile iron — steering knuckles, hubs, brackets; balance of strength and ductility. Regional adj. ×0.880 (millSteel)	mat-gjs500	Low
rawMaterial.consumablesCostPerPart	1.5000	£	Per-part consumable (core/wax/shell)	mat-gjs500	Medium
Sand Casting — Moulding.machineRatePerHr	15.0771	£/hr	UK foundry benchmark, Jun 2026 Regional: capex/overhead ×0.55, energy re-tariffed @£0.07/kWh	sand-cast-line	Low
Sand Casting — Moulding.labourRatePerHr	7.9000	£/hr	Regional benchmark China — 2026 Q2	lab-uk-skilled	Low
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured].machineRatePerHr	28.1005	£/hr	UK Tier-2 3-axis VMC (HAAS VF/VM class). Target £55/hr. Jun 2026 Regional: capex/overhead ×0.55, energy re-tariffed @£0.07/kWh	mach-vmc3	Low
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured].labourRatePerHr	7.9000	£/hr	Regional benchmark China — 2026 Q2	lab-uk-skilled	Low

Estimate (± band)	P10 · optimistic	P50 · median	P90 · conservative	Band	CV
¥204.66 ± 16.6%	¥171.86	¥202.90	¥239.73	moderate	13.1%

Range reflects how well each cost driver is known (High / Medium / Low confidence). Tighten it by attaching CAD, a BOM, or logging an actual quote.

Why confidence is Low

Main band drivers: 6 rate(s) at Low confidence; tooling amortisation carries the widest per-bucket spread; some detected features not costed (see §4C).

What's excluded from this unit cost

One-time NRE — tooling / die, fixtures and CNC programming — is amortised separately, not in this unit cost.

Import duty and international freight (regional table is Ex-Works).

Formal embodied-carbon reporting (figures are indicative cradle-to-gate — replace with supplier EPDs).

Heat-treat (T6/T7), HIP and 100% NDT/X-ray are NOT in this cost — add them for structural / safety-critical parts.

Trim/degate, shot-blast/deflash and impregnation are only included where shown as operations.

§8 — Sensitivity Analysis

± 10% driver swing · ranked by ¥ impact

Cost Driver	Base	-10% cost	+10% cost	Range ¥
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured]: Cycle Time	0.16hr	-3.5%	+3.5%	¥14.20
Sand Casting — Moulding: Cycle Time	0.19hr	-2.8%	+2.8%	¥11.43
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured]: Machine Rate	¥254.30/hr	-2.7%	+2.7%	¥11.22
Sand Casting — Moulding: Machine Rate	¥136.44/hr	-1.9%	+1.9%	¥7.85
Sand Casting — Moulding: Labour Rate	¥71.49/hr	-1.6%	+1.6%	¥6.56
CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured]: Labour Rate	¥71.49/hr	-1.6%	+1.6%	¥6.56
Material: EN-GJS-500-7 (Ductile Iron)	¥6.85/kg	-1.5%	+1.5%	¥6.01
Amortisation Volume	200000parts	+1.5%	-1.2%	¥5.67

§9 — Regional Cost Comparison

Ex-Works · per-region should-cost · vs China

Region	Material	Process	Labour	Tooling	Overhead	Ex-Works	Logistics	Total	vs China
United Kingdom (GBP)	¥41.94	¥143.35	¥97.58	¥42.16	¥26.57	¥351.60	¥1.56	¥370.13	+81%
Germany (EUR)	¥43.20	¥150.52	¥157.70	¥44.27	¥35.58	¥431.26	¥1.79	¥453.54	+122%
France (EUR)	¥42.78	¥131.88	¥113.35	¥38.79	¥28.05	¥354.85	¥1.79	¥373.85	+83%
Spain (EUR)	¥41.94	¥126.15	¥71.46	¥37.10	¥21.48	¥298.13	¥1.79	¥314.66	+54%
Poland (PLN)	¥40.69	¥103.21	¥44.35	¥30.36	¥15.19	¥233.80	¥1.87	¥247.43	+21%
Turkey (TRY)	¥37.75	¥86.01	¥24.64	¥25.30	¥11.07	¥184.77	¥2.03	¥196.29	-4%
China (CNY)	¥36.91	¥78.84	¥27.10	¥23.19	¥19.93	¥185.97	¥2.26	¥204.66	Base
India (INR)	¥37.75	¥74.54	¥17.25	¥21.93	¥8.91	¥160.38	¥2.34	¥170.89	-16%
Mexico (MXN)	¥39.85	¥86.01	¥28.58	¥25.30	¥11.46	¥191.20	¥2.11	¥202.97	-1%
United States (USD)	¥41.94	¥121.85	¥128.13	¥35.84	¥25.45	¥353.21	¥1.95	¥372.12	+82%

Per-region should-cost using regional labour, energy and rate benchmarks. Tooling held fixed. Ex-Works — excludes import duty + international freight. Indicative — confirm with RFQ.

§10 — Embodied Carbon

14.71 kgCO2e · 6.24 /kg · cradle-to-gate

Material	5.35 kgCO2e	Material factor	2.10 kg/kg (Steel)
Process	8.98 kgCO2e	Grid intensity	0.550 kg/kWh · 16.33 kWh
Logistics	0.38 kgCO2e	Total	14.71 kgCO2e

Indicative cradle-to-gate factors — replace with supplier EPDs for formal reporting.

[WARNING] Machining / process cost above benchmark

Finding	Process cost at 38.5% of total is above the benchmark range of 8–16%. Cycle time or machine rate is elevated.
Impact	High · up to 11% potential saving
Benchmark	Process %: yours 38.5% vs industry 8–16%
Action 1	Reduce cycle time via feeds/speeds optimisation and toolpath strategy review
Action 2	Combine multiple operations into one setup to eliminate re-fixturing time

[WARNING] Elevated process cost — possible high reject/scrap rate

Finding	Process cost is 38.5% vs benchmark max of 16%. For castings, this may indicate a high reject rate (>5%) inflating effective machine time, poor OEE on the casting cell, or cycle time above industry benchmark for this alloy/weight range.
Impact	Medium · up to 8% potential saving
Action 1	Audit actual first-pass yield (FPY) data from the foundry — target >96% for HPDC Al
Action 2	Root-cause the dominant reject type: porosity, dimensional, surface, or cold shut

[WARNING] Low material utilisation — high scrap rate

Finding	Material utilisation at 65% is below the casting benchmark of 80%. You are paying for 54% more raw material than ends up in the part.
Impact	Medium · up to 3% potential saving
Action 1	Redesign blank/preform geometry to minimise offcuts
Action 2	Optimise nesting/layout for sheet or profile stock

[WARNING] Low casting yield — excess runner/gating material

Finding	Casting yield of 65% means 54% of poured metal is returned as runner/gate scrap. HPDC benchmark is 65–75%; sand/gravity 75–85%. Scrap recovery credits are partial — you are paying for metal that doesn't end up in the part.
Impact	Medium · up to 1% potential saving
Benchmark	Casting Yield: yours 65.0% vs industry 65–85%
Action 1	Work with die designer to optimise runner/gate geometry and reduce pour weight
Action 2	Consider vacuum-assisted HPDC (vacural) to allow thinner gates and reduce gating volume

[INFO] Material cost is below benchmark range

Finding	Material at 18.0% is below the typical 40–65% range. Conversion cost is the dominant driver.
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Impact	Low
Benchmark	Material %: yours 18.0% vs industry 40–65%
Action 1	Focus optimisation efforts on process and labour efficiency

[INFO] Confirm post-casting scope — no finishing operations in this cost

Finding	The operation list carries no heat treatment, shot blasting or fettling line. If the casting form's service adders were set they are already in the material bucket; if not, structural castings typically add 8–18% for T5/T6 heat treatment (£1.20–2.80/kg), shot blast (£0.15–0.40/part), impregnation (£0.80–1.80/part) and deburring (£0.10–0.60/part).
Impact	Medium
Action 1	Check the derivation trace: heat-treat/descale/NDT adders appear there when they were costed
Action 2	If genuinely absent, set the casting service adders (heat treat, shot blast, impregnation) and re-cost

§12 — Cost-Reduction Opportunities (ranked by saving)

6 opportunities · combined ¥34.18/part (~17%)

Ranked on money per part against this costing. The combined figure is the root-sum-square of the top three, capped at 40% — overlapping actions do not save twice, so the column is deliberately not summed.

#	Category	Action	Why it is on the list	Save/p art	%	Timeframe	Risk
1	Process & Automation	Multi-Cavity / Multi-Up Tooling	Every cycle currently makes one part. A 2-cavity (or family) tool halves the machine and labour minutes per part against roughly 60–80% more tooling NRE.	¥24.56	12.0 %	Medium Term	Medium
2	Process & Automation	Attack the Bottleneck: "CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured]"	One operation — CNC Machining — 18 features (1×Ø4.0×7, 1×Ø4.9×15, 1×Ø13.0×8, 2×Ø13.0×19, 1×Ø13.0×41, 3×Ø14.0×1, 1×Ø20.0×1, 1× face 4385mm², 1× face 2406mm², 1× face 2191mm², 1× face 1921mm², 1× face 1892mm², 1× face 1839mm², 1× face 1838mm², 1× face 1694mm²) [geometry-measured] — carries 55% of the conversion cost. Improving anything else first is working on the wrong problem.	¥11.74	5.7%	Medium Term	Medium
3	Material	Improve Material Utilisation via Near-Net-Shape	Current utilisation at 65%. Near-net-shape process or improved nesting targets 80–90%.	¥20.47	10.0 %	Medium Term	Medium
4	Material	Consumables Rationalisation (Cores, Patterns, Shell)	Per-part consumables are 37% of the material line. Core count, pattern life and shell recipe are all design-controllable.	¥12.28	6.0%	Medium Term	Medium
5	Sustainability & Energy	Energy Productivity Programme	This process is energy-intensive (melt, cure, oven or heat-treat content). Energy sits inside the machine rate and overhead — and it is the fastest-moving input cost of the decade.	¥6.14	3.0%	Medium Term	Low
6	Tooling	Tooling Ownership and End-of-Life Terms	£512,500 of tooling sits behind this part. Who owns it, who maintains it, and what happens at end of programme are worth points of piece price — and all of it is negotiable before the tool is cut.	¥4.64	2.3%	Quick Win	Low

§13 — Opportunity by Category

4 categories with an actionable lever

Category	Opportunities	Best single action	Best save/part	Category total (indicative)
Process & Automation	2	Multi-Cavity / Multi-Up Tooling	¥24.56	¥36.30
Material	2	Improve Material Utilisation via Near-Net-Shape	¥20.47	¥32.75
Sustainability & Energy	1	Energy Productivity Programme	¥6.14	¥6.14
Tooling	1	Tooling Ownership and End-of-Life Terms	¥4.64	¥4.64

§14 — Inputs to Confirm

No saving is claimed against these

Item	What the costing assumed	How to close it
Unusually low material content — verify alloy grade	Material at 18.0% of part cost is below the 35% floor for castings. Verify alloy grade and net weight inputs.	Validate material weight and alloy price inputs against purchase orders

§15 — Implementation Roadmap

Quick Wins — Implement Immediately

- Tooling Ownership and End-of-Life Terms